1. Executive Summary

We analysed employee data to understand why people are leaving the company. Our goal was to identify the strongest warning signs and provide clear, actionable recommendations to improve retention.

2. Top 3 Reasons Employees Leave

Our analysis shows that employees are most likely to leave when:

- **They work overtime** (burnout and poor work-life balance are the biggest red flags).
- **They have low monthly income** compared to market standards.
- **They are new to the company** (attrition is highest in the first 3 years).

3. Which Department Needs Immediate Attention?

The **Sales department** has the highest attrition, especially **Sales Representatives** (~40% exit rate). This should be HR's top priority for retention efforts.

4. Does Salary Alone Explain Attrition?

No. While salary matters, **overtime and job satisfaction** are equally or more important. Employees leave when they feel overworked, not just when they feel underpaid. A holistic approach is needed.

5. Recommended Actions

1. **Reduce Overtime:** Review staffing and workload in the Sales and HR departments to prevent burnout.
2. **Target Early-Tenure Employees:** Conduct "stay interviews" with employees who have been with the company for less than 3 years.

6. Important Limitation

Our model identifies patterns and correlations, not definite causes. It cannot predict personal reasons or external job market changes. Please use this as a data-driven guide, not as the sole decision-making tool.

Conclusion: By focusing on overtime reduction, compensation reviews, and early-tenure support, we can make a measurable impact on employee retention.